Financial Statements

Chapter 2

Introduction to Financial Management (Pope)

Financial Statements Review

Balance Sheet.

- Financial statement that shows the value of the firm's assets and liabilities at a particular time
- Measured from an accounting perspective
- Assets (use of funds) are listed on the left
- Liabilities + Equity (source of funds) are listed on the right

Balance Sheet Areas

Current assets

- short term investments, hurt cash flow
- Cash and marketable securities, accounts receivable, inventory, etc.

Current liabilities

- help cash flow, future cash outflow
- Accounts payable, notes payable

Net working capital = Current assets – current liabilities

Balance Sheet Areas

Long-term assets

- Tangible (property, plant and equipment) and intangible (goodwill)
- Accumulated depreciation (Gross vs net PPE)

Long-term liabilities (debt)

Equity

- Common stock vs Additional paid-in capital
- Retained earnings

Costco Wholesale Corporation

Ticker symbol: COST

Market Cap*: $395 billion

Revenues*: $ 253 billion

Click here for link to latest financial disclosures

**as of August 2024*

Book vs Market Value?

Book value

- Balance sheet valuations
- Book values look backwards

Market value

- The value of assets or liabilities if resold in a market.
- Forward looking, consider the prospect of future cash flows

What about intangible assets?

Market Value Measurements

Market Capitalization

- Minimum value for equity of company
- # shares outstanding * current stock price

Enterprise value

- Total market value of the firm
- Market value of Equity + Market value of Debt - Cash

Financial Statement Review

Income Statement

- Financial statement that shows the revenues, expenses, and net income of a firm over a period
- How are debt and equity represented here?

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Profit vs Cash Flow

It is important to note that accounting profit does not imply the firm has that value of cash on hand. Recall,

1. Depreciation

   EBIT = total revenues – costs - depreciation

2. Accrual accounting

Financial Statement Review

Statement of Cash Flows

- Financial statement that shows the firm's cash receipts and cash payments over a period of time
- It starts with profits and converts to cash flows

Financial Statement Review

Statement of Cash Flows

- Cash flow from Operations (Net Income + Depreciation +/- etc.)
- Cash flow from Investments (change in PPE)
- Cash flow from Financing (notes payable, long-term debt, dividends)
- Cash reconciliation

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Free Cash Flow

Free Cash Flow (FCF)

- Cash available for distribution to investors after firm pays for new investments or additions to working capital.

$$FCF = EBIT(1 - T) + Depreciation - \Delta NWC - \Delta Gross\ PPE$$